

generally be terminated on short notice. In addition, some of the products Flex Group designs and develops must satisfy safety and regulatory standards and some must receive government certifications. If Flex Group fails to obtain these approvals or certifications on a timely basis, Flex Group would be unable to sell these products, which would harm its sales, profitability and reputation.

Flex Group's design services offerings require significant investments in research and development, technology licensing, test and tooling equipment, patent applications, facility building and expansion, and recruitment. Flex Group may not be able to achieve a high enough level of sales for this business to be profitable. The costs of investing in the resources necessary to expand Flex Group's design and engineering capabilities, and in particular to support Flex Group's design services offerings, have historically adversely affected its profitability, and may continue to do so as it continues to make investments to grow these capabilities.

In addition, Flex Group often agrees to certain product price limitations and cost reduction targets in connection with these services. Inflationary and other increases in the costs of the raw materials and labour required to produce the products have occurred and may recur from time to time. Also, the production ramps for these programs are typically significant and negatively impact Flex Group's margin in early stages as the manufacturing volumes are lower and result in inefficiencies and unabsorbed manufacturing overhead costs. Flex Group may not be able to reduce costs, incorporate changes in costs into the selling prices of its products, or increase operating efficiencies as Flex Group ramps production of its products, which would adversely affect its margins and results of operations.

- (g) *If Flex Group does not effectively manage changes in its operations, Flex Group's business may be harmed; Flex Group has taken substantial restructuring charges in the past and it may need to take material restructuring charges in the future.*

The expansion of Flex Group's business, as well as business contractions and other changes in its customers' requirements, including as a result of COVID-19, have in the past, and may in the future, require that Flex Group adjust its business and cost structures by incurring restructuring charges. Restructuring activities involve reductions in Flex Group's workforce at some locations and closure of certain facilities. All of these changes have in the past placed, and may in the future place, considerable strain on Flex Group's financial and management control systems and resources, including decision support, accounting management, information systems and facilities. If Flex Group does not properly manage its financial and management controls, reporting systems and procedures to manage its employees, Flex Group's business could be harmed.

In recent years, including the fiscal years 2021, 2020, and 2019, Flex Group initiated targeted restructuring activities focused on optimizing its portfolio, in particular customers and products in its consumer devices business, optimizing its cost structure in lower growth areas and, more importantly, streamlining certain corporate and segment functions. Restructuring charges are recorded based upon employee termination dates, site closure and consolidation plans generally in conjunction with an overall corporate initiative to drive cost reduction and realign the Flex Group's global footprint.

Flex Group may be required to take additional charges in the future to align its operations and cost structures with global economic conditions, market demands, cost competitiveness, and its geographic footprint as it relates to its customers' production requirements and in response to the economic challenges in light of recent events with